Sphinx — PR Brief

Sphinx is building a next-generation, internationally regulated derivatives exchange for **24/7 energy markets**, launching with **U.S. Power (ERCOT)** and **U.S. Natural Gas (Henry Hub)**. The core premise is straightforward: **physical energy risk is continuous** (weather, constraints, outages, fuel dynamics), but much of the market infrastructure and liquidity access remains session-bound—creating avoidable cost, operational workarounds, and fragility for participants managing real-world exposure.

Positioning (select a default and use consistently)

Primary (recommended):

- **Next-generation, regulated derivatives exchange for 24/7 energy markets.**

Alternates (use when helpful):

- **Continuous risk management for power and gas—built for professional participants.**
- **Modern market structure for always-on energy risk transfer.**

Optional supporting line (for context):

- "Energy is a real-time system; risk management infrastructure should match that reality."

Core problem framing (market-structure first)

Energy markets are uniquely exposed to **intraday discontinuities**: the grid must balance in real time, and the drivers of price formation—weather updates, load and generation changes, transmission constraints, outages, storage and pipeline conditions—continue regardless of exchange hours.

This creates persistent structural issues:

- **Gap risk / timing mismatch:** exposures move materially while many hedging workflows cannot respond with the same immediacy.
- **Liquidity discontinuity:** off-hours and stressed periods often coincide with thinner liquidity, wider spreads, and impaired price discovery.
- **Higher total cost of hedging:** participants rely on imperfect proxies, conservative position sizing, or OTC patches that introduce **basis risk**, higher operational friction, and greater dependence on bilateral processes.
- **Delayed price discovery:** when markets pause, the information gets priced later, often as discontinuous moves, which penalizes hedgers and creates unstable conditions for liquidity providers.

PR translation: the infrastructure forces "risk management by schedule," while the underlying risk is continuous.

Narratives we want to own (and how they should sound)

1) Always-on risk management (primary narrative)
Sphinx exists to make continuous risk management normal in energy: the ability to hedge and trade when conditions change—not only when a session is open.

2) Modern market design for real-economy volatility
Power and gas are the proving ground because they are among the most timing-sensitive commodities. If market structure can handle intraday volatility and constraint-driven price formation in these products, it generalizes outward.

3) Lower-friction market structure (capital + operations)
The objective is not novelty; it's reduced friction. Better structure means fewer forced workarounds during volatility, cleaner execution for professional participants, and improved ability to manage exposure dynamically.

4) Built for professionals (tone + credibility)
Sphinx should be framed as **institutional, market-structure-first**. Messaging should emphasize execution quality, controls, and operational discipline. Avoid any "crypto exchange" adjacency; keep the story energy-native.

ICP / audiences (who we're building for and what they care about)

A) Hedgers (commercial + financial)
Examples: generators, retailers, energy marketers, utilities, large consumers, commodity desks, structured product desks.
What they optimize for:

- Ability to **reduce exposure quickly** when conditions change
- Lower basis/proxy reliance; fewer patchwork hedges
- Predictable execution quality and more continuous price formation
- Operational simplicity and strong controls that fit risk governance

B) Professional traders / speculators
Examples: discretionary and systematic commodity traders; volatility traders.
What they optimize for:

- Continuous access and cleaner price discovery
- Market microstructure that supports consistent participation during volatility
- Reliable liquidity conditions that don't collapse when it matters most

C) Liquidity providers / market makers
Examples: specialist energy market makers; commodities prop shops.
What they optimize for:

- A venue and product design that supports **tight markets** and consistent quoting
- Strong risk management pathways (for managing exposures across the curve)
- Operational confidence: rules clarity, controls, and reliability in stressed conditions

D) Risk, operations, compliance (key influencers)
Examples: CRO, risk committees, clearing/ops teams, compliance stakeholders.
What they optimize for:

- Clear controls, reporting, and governance standards
- Operational discipline, strong process design, and credible compliance posture
- Minimizing operational surprises and complexity

Key messages (the repeatable spine)

- **Energy is 24/7; risk management should be too.**
- **Launching with U.S. power (ERCOT) and natural gas (Henry Hub)** because timing sensitivity and volatility make them the clearest need case.
- **Built for professional participants:** execution quality, institutional controls, and operational discipline.
- **Market-structure-led framing:** the value is better risk transfer and more continuous price discovery—keep "blockchain" out of the lead.

Boilerplate (press-ready; use as-is)

Sphinx is building a next-generation, internationally regulated derivatives exchange for 24/7 energy markets, launching with U.S. power (ERCOT) and U.S. natural gas (Henry Hub). The grid operates continuously, but market infrastructure often forces participants to wait to hedge—creating gap risk and higher costs during volatility. Sphinx is designed to enable continuous risk transfer for professional market participants.

Proof points (use only what is substantiated; avoid speculation)

- Initial markets: **ERCOT power** and **Henry Hub natural gas**.
- Regulatory: pursuing/obtaining **Bermuda Monetary Authority (BMA) Class T (test/sandbox) licence**.
- Messaging discipline: avoid forward-looking claims about approval timing, liquidity, volume, or partnerships unless we supply substantiation and permission to publish.

Credible PR angles (earned media + founder content)

- The "timing mismatch" story: exposure moves intraday; market access is still session-bound.
- Power markets as a case study in why continuous hedging matters (constraints/intraday volatility).
- Market structure viewpoint: how better design improves execution quality and resilience during stress.
- The pragmatic "infrastructure layer" framing: modernizing risk transfer rails without hype.

Comms guardrails (what to avoid)

- Do not lead with crypto framing or "onchain" language.
- Avoid "disruption" rhetoric; keep tone pragmatic and professional.
- No fundraising/raise mentions in public materials.
- No specific forward-looking statements about regulatory timelines or market outcomes without explicit approval.

What we can provide immediately (to enable PR execution)

- Finalized messaging/narrative doc + approved boilerplate variations (25/50/100 words).
- ICP cheat sheet + glossary (power/gas + market-structure terminology).
- Founder bios + approved short quotes for press.
- Visual kit: approved graphics for energy/market structure themes.
- Target list development: priority reporters, newsletters, and podcasts aligned to energy trading, market structure, and infrastructure.